

The Social Radars

S2: Emmett Shear, Co-Founder of Twitch

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Jessica: I'm Jessica Livingston and Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories. We are here today with Emmett Shear. And of course you know Emmett from being the founder and CEO of Twitch, but he is now a part-time partner at Y Combinator. And I am so excited. Emmett, roll up your sleeves. We're getting into things. Welcome.

Emmett: All right. Thank you. It's going to be fun.

Jessica: It is going to be fun reminiscing. You applied to YC in the very first batch in 2005 before anyone had even heard of Y Combinator. Tell me what you remember.

Emmett: I was a big fan of Paul's essays in college. I was reading his essays along with spending just vastly too much time on the internet in general. But I read all of his essays and unrelated, me and Justin and Matt Fong had decided we should start a company just sort of generically. If we're going to start a company, we should do it now. We have the least to lose. We have the most access to co-founders. Actually, our logic was pretty sound. Now would be a good time to start a company as we graduate.

Jessica: Because you were all seniors at Yale University?

Emmett: We were all seniors at Yale. We were all seniors at Yale together, and we should have started looking around for a startup idea. And Gmail had just come out. I'd been working at Microsoft the previous summer on the Hotmail team, which was a hot mess. Totally. It wasn't their fault. It's just Microsoft had decided to fund all of Hotmail with a team of six people for like a hundred million users.

There was no possible way that product could have gone anywhere because it was... Microsoft had decided, "Well, we bought this email thing. It didn't really go anywhere, whatever." And they just stopped funding it. I was their person working on the spam problem. The summer intern.

Carolynn: What?

Emmett: That was my job.

Jessica: The summer intern was combating spam.

Emmett: I was the spam guy. I was integrating a vendor, so it wasn't like I was actually trying to... They weren't making me write a anti-spam engine, but I'm integrating this anti-spam vendor. This tells you what state the team was in. It was really not in a good place. I still think fondly of my teammates, it was hopeless. I was one of those, in retrospect, they had this huge lead. Anyway, so Gmail had come out that summer and I got an invite that summer. I tried to show everyone else on the team Gmail and be like, "Guys, this is a big deal. This is coming."

And no one was interested. No one was interested in Gmail at all. It was amazing. But I was really interested in Gmail, and so when I was back at school using Gmail, I was like, this needs a calendar. Obviously, they made the email client, but Google doesn't understand this. They need a calendar that goes with this. And of course, it turns out Google had already built the calendar. They just hadn't launched it publicly yet. But we did not know this at the time. And so we started working on... That was our idea.

We were going to go build a Google Calendar competitor effectively, but Google Calendar didn't exist yet, and we're working on this and our friends know we're working on this. And so I get a message from... Who was it in the computer science program? I think it was Jim Terry basically being like, "Hey, you like Paul's essays, right? And you're starting a startup. Did you see this announcement? He's doing a startup funding thing." And I was like, "Oh no, I didn't see that."

I totally missed it. Oh, we should apply for that." And so we did. And I remember explaining to Justin, "This is a good idea." And he was like, "Oh, this is great. They're going to give us money. I'm sold."

Jessica: Big fat, \$12,000.

Emmett: We were facing, should we just start this in our parents' garages? We don't have any money. We don't know how to raise money. So it was like \$15,000 was a big deal. That was enough to let us... [inaudible 00:04:31] was correct. That was enough to let us leave school. On graduation, do this instead of getting a job.

And Matt's from Australia, so he dropped out and went to work for, I think, Goldman instead because they could get him a guaranteed visa. And I think it was a little too risky for him to... Even Australians, the visa situation's hard.

Carolynn: Immigration's hard all the way around.

Emmett: And so it was just me and Justin at that point. And we came up and we interviewed at the Garden Street office. I remember we stayed in [inaudible 00:05:05] and we got a taxi to go over to the Garden Street place, which is much nicer. We should have stayed closer to Garden Street. I don't know why we stayed. We were trying to save money on everything because we were broke college kids, which in retrospect, actually, that was the right... I look back at a bunch of things where I'm like, now I would never make that decision, but that was the right call at the time.

Jessica: And if I remember correctly, you lived in some sort of not great part of Boston, not near Cambridge when you did once. Correct. Where was it?

Emmett: So Justin's mom had a friend, I think through church who lived in Roxbury. And so she got us a place deep in Roxbury in this house with no AC, no AC in Boston is a big problem. And I never understood the whole food desert thing. We were in a food desert. The closest groceries and stuff were quite far away from us, so you had to either walk the long way or take a taxi or something. I think we had my car though, so we could drive it.

We went to Costco a lot in the car. But in retrospect, I don't know why we thought that was a good idea. It was cheap. It was cheap and it had space.

Jessica: I bet it was. Cheap is good when you've just graduated and you don't have any income. So back to the interview weekend though. So you applied to YC with the idea of Kiko, the Google Calendar, and we invited you to interview and you had built something at that point, had you not, when you came in to interview?

Emmett: We'd been stretching towards a demo. I was a Paul Disciple, and at the time, Paul's big thing was like, "Running code is the key. Build a demo. Make something, get it going, start learning from there." And so that's what we did. And we had the drag and drop demo running. I think it was the first time I'd ever seen drag and drop work in a browser. I'd never done that before. One time for each appointment, you couldn't move it a second time, but once you could pick up any appointment and move it to another place in the calendar and it would work.

Jessica: Well, it impressed us. I do remember, very impressive demo.

Carolynn: Did you allow them to do a demo in the interview?

Emmett: We had 40 minutes.

Carolynn: 40 minutes.

Jessica: We had 40 minutes. We would've allowed them to do anything.

Emmett: What are you going to do at the time? 40 minutes. It's like an eternity. I'm like, what are you going to do with the time?

Jessica: Needless to say, Emmett, we changed the 40 minutes for the next interview session down to 15. We were just learning. I mean, this was all new for us, so we thought you needed 40 minutes.

Emmett: Well, and compared to a normal investment process, we're going to make our entire decision on a 40-minute meeting. And then we're just going to say yes or no. Sounded already absurdly shortened. The comparison is multiple meetings and pitch decks. And I felt like on the founder side, I was getting away with something. I just get to come in and

talk to you for 40 minutes and show you my demo, and then I either get money or I don't, this is a great deal. It's so much better than pitch. I don't even know how to pitch for money.

Jessica: Well, this was one of our insights was to make immediate decisions. So that was always the plan. We were going to let you know that night. And I remember it was pretty much a no-brainer for you two, were like great founders, and they built something. Great idea. Let's do it.

Emmett: You did tell us, "We're not sure your idea is really that good. It's okay." Which to be fair, it wasn't a good idea.

Jessica: It would've been if Google hadn't launched

Emmett: If Google hadn't launched Google Calendar, it would've been a good idea. But I think Google was always going to launch Google Calendar. So I just remember walking out of the meeting and being like, "Holy shit. That was Robert Morris." And Justin was like, "Who?" And I was like, "I think that was Robert Morris." I was a CS kid. I knew RTM. I knew about the worm. I was like, "We just got interviewed by..." I couldn't even remember. I don't remember anyone else in the room or anything that happened. Because I was like, "That was Robert Morris. Oh my God."

Jessica: Did you guys not introduce each other?

Emmett: I think I held it.

Carolynn: No one introduced each... that didn't happen.

Emmett: We introduced it, but that didn't register. Justin's like, "Oh, this is Robert Morris and he's [inaudible 00:09:42] Justin's like, "Yeah, yeah, cool, whatever. Yeah, that guy." I remember afterwards just being totally starstruck and Justin being like, "Who are we talking about?" Because if you aren't a literal CS major, you're not going to learn about it.

You have to be really into internet programs or hacker history to know why he's so impressive. But as a result, actually, I barely remember. I think most of my memories of the rest of it are kind of reconstructed. I know you were there, Jessica, but I can't remember you being there. I think Trevor was probably there. I don't remember him. I barely remember Paul.

Jessica: Really? Oh my God.

Emmett: Because I was just like, "Oh my God. RTM, RTM. I can't believe I'm being interviewed.

Jessica: That's so funny. I love that.

Emmett: He didn't even ask any real questions.

Carolynn: I was going to say, he's not super talkative in interviews, so that is hilarious.

Emmett: No. I remember you being there, Jessica. I just don't remember... It's just a flash of it. But Trevor, I honestly don't remember his presence. And I'm sorry, Trevor. Paul, if I wasn't reading Paul's essays, I don't think I would've remembered him either. They would have the same kind of flash of a person, but that's it. It was great.

Jessica: When we called you that night and said, "Paul must have called you and said you're in." Was it a no-brainer to take the deal?

Emmett: We were so excited. We didn't have a backup plan. Our plan was get into YC. That was the whole plan. If we hadn't gotten it, I don't know what we would've done. I mean, to be honest, Justin had a job that he took the signing bonus from, and after he got YC, he returned the signing bonus. I did not have a backup plan, and I don't think Paul... Justin was actually going to take his energy consulting job in DC. I don't think Justin would've actually liked that.

I think that was sort of like to appease his mother or something. Like, "Don't worry, I have a real plan." But we definitely did not have a like, "Oh, if we don't raise money from YC, we'll go start the startup some other way." I don't think it's an exaggeration to say we would not have started Kiko without YC. We would've tried a little bit, but I think we would've given up quite quickly.

Jessica: So if you can remember, I'd love to hear your memories from that first summer and that very first session of YC and what happened with Kiko and what I might not know about.

Emmett: I mean, I mostly remember sitting in our very, very hot, sweltering Roxbury apartment with no AC in our underwear programming and just feeling so alone and so depressed because I'd just come out of being in the best social environment of my entire life with all of my college friends. And that was me and Justin. I love Justin, but he's not an entire social circle. And it's just me and Justin in this house. We don't know anyone in the city. It feels like we're never going to be near our friends.

And our friends are all in New York, basically. Some of them are in San Francisco, but most of them are in New York at this point. And they're all having a great time. They're all working their first year at Goldman and with all their other friends who graduated or at consulting firms or wherever else, or they went to law school or med school, and they're having an awesome time. And we're at Roxbury.

It was so depressing and so sad, and I had a couple of weeks of just dark, my life is never going to be fun again. Oh, no. And the one bright spot every week was Tuesday dinners.

Jessica: I was going to ask you, did you just live for Tuesday night dinners at YC?

Emmett: Tuesday night dinner was the only social contact we had of any kind. In retrospect, if we just lived in Davis Square or something, we would've been like, fine. It was this totally

owned goal. There's a bunch of college kids right there. Cambridge is full of our friends and [inaudible 00:13:54]

Jessica: Things happening.

Emmett: Totally.

Jessica: Young 20 year olds.

Emmett: But instead we decided to live in Roxbury. I don't know. It was not very smart. In some ways it was terrible. In some ways it was good because we definitely weren't distracted. It was full on. We were doing nothing but the startup, which was sad and depressing, but also we were doing nothing but the startup. There was no competing anything. And I drove out across the country, my girlfriend wanted to.

I got back there with my girlfriend, which in retrospect, I feel like that was probably a bad idea, not because we weren't... Just practically her moving to Boston into this environment where I was already depressed and didn't have a social network. And she also wouldn't... In retrospect, if we wanted that to work, we probably should have waited until I at least moved to Davis Square. That would've been a better idea.

Carolynn: Did she move into the apartment?

Emmett: Totally. A hundred percent.

Jessica: And did that cause a little tension? I know you and Justin have been friends forever, but I'm trying to remember.

Emmett: It caused a little bit of tension, I think. But more just the insanity of why would you generate this extra stuff that we have to deal with. But he got together with Christine while we were in the Roxbury apartment too. So I think we both got back together with girlfriends.

Jessica: They met in Boston?

Emmett: They met in college, but they'd broken up and they got back together, I'm pretty sure while we were still in the Roxbury apartment. We ate a lot of Costco lasagna. I made a lot of chicken and spring mix salads, and then it was quiche Lorraines. I would bake a whole quiche Lorraine and just eat that for a week.

Carolynn: The little mini Hors d'oeuvres kind?

Emmett: No, no, no. I would make a pie crust and fill it with a dozen eggs. And then I would eat that for four days. Quiches are the easiest thing to make actually. If you can make a pie crust or you buy one, you just crack a dozen eggs into it and some cream and ham and whatever you want to put in, and then you put it in the oven and you cut it into a bunch

of slices and you have infinite food. I was just looking for things that were time efficient. Time efficient for a lot of protein.

Carolynn: That's a good tip.

Jessica: At the end of the summer, you had demo day. Do you remember that there were 15 people there?

Emmett: I remember the whole summer, I remember Paul Buchheit coming in and giving us talk on Gmail and just being like, "Holy shit, that's a real engineer." I didn't understand what engineering was. And I remember telling Steve that you couldn't access it. It's so embarrassing. I think something like you couldn't access a database without Java. And what I meant was you couldn't access a database without a server side thing. But I didn't really understand how programming worked.

I fooled you because I was a good programmer because I had been in the Yale computer science curriculum, which is a very intense abstract curriculum, but they don't teach you how to do anything. I didn't know how any technology actually worked. It is really a computer science abstract theory program. And so how does a database work? How do you connect a program that runs on a server to a database? I have this vague idea you can do that, but what would that look like?

I'd never done it before because that's dirty, practical work. And Yale doesn't believe in practical work of any kind.

Jessica: Well, YC does, thank God. And you probably got quite the lesson.

Emmett: Well, turns out Yale is actually right, which their attitude is, you'll figure it out. That part's easy. We're going to focus on the really hard stuff. And when you have to figure out how to install a database driver for your Python program, it's fine. If you got through this program, you'll figure it out. And they were right. It took me all of six weeks to figure out how a lot of that stuff worked. Although it took me probably two or three years to get good at it. That's fine.

I'm glad they focused on the more rigorous components because that stuff I would not have learned over the next two or three years if I hadn't gotten it in school. Also, from the summer, I remember prototype day and sort of sprinting to have something. And then I remember demo day and we'd basically built a calendar. I think we'd even launched and we had some users. I remember no one, I think... We presented again for half an hour or something. How long were those presentations?

Jessica: I think that they were maybe 15 minutes or pretty long.

Emmett: 15 minutes. They were long real presentations with slide decks and demos sometimes because it was demo day. And I remember we got interest from Steven Wolfram and we got to go pitch him. He did not want to invest because [inaudible 00:19:14] actually

correctly did not think that we were going anywhere on that startup. I also remember, I think his seven-year-old son was in the meeting.

Jessica: Was he there that summer?

Emmett: I think so. And he was there in all of Steven's meetings, actually, I think. I don't think he was at the demo day, but he was in our pitch meeting with them and I thought it was really charming. It makes me want to take Lucas, my son, when he is old enough into meetings. To be honest, he asked two or three questions because Steven was like, "Hey, do you want to ask them some questions?" His questions were better than the average VC associate and probably better than half of all the partner questions I've gotten. He asked good questions that were on point. That made sense. That followed.

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Emmett: ... one point that made sense, that followed. Because he's obviously a smart kid and he's been watching his dad ask smart questions in the meetings for probably a year at that point. So he knows what to ask, he can just pattern match it. And I was like, "Oh." That actually made me feel better about it. When he was just sitting in the meeting, I thought it was weird. But then when he got to ask questions, at first I was like, "What is this seven-year-old going to ask me?" Or maybe he was nine, I don't remember exactly. And I can't remember exactly what it was, but just thinking, "Oh yeah, that's a totally sensible, reasonable thing to ask."

Carolynn: That's so funny.

Jessica: You mentioned Steve, which is Steve Huffman from Reddit, for our listeners, who was also in that first batch, who's been on this podcast. You guys were good friends with the Reddits, Steve and Alexis. What was your friendship like?

Emmett: Not during the summer.

Jessica: Really?

Emmett: Not during the summer. Yeah, during the summer we were in Roxbury and we didn't see anybody. I liked Steve and I liked Alexis, and we were drawn to them as sort of the other... Them and Aaron Schwartz, I think, that set of us. And I guess the [inaudible 00:21:13] guys, Zach and Chris. We all kind of... I think Sam was off pitching all the time and didn't hang out with us that much, because he was working on a startup for him that meant deals.

And that group was sort of the set of people who, I think were both very serious about their startup, but also wanted to hang out and talk and have some amount of fun as well, which I guess, that was two thirds of the batch or something. But that group, we all sort of hung out quite a bit. And I remember really being drawn to them, being particularly drawn to Steve and Alexis. But it wasn't until after the batch ended when we were like, "Oh, now what do we do?" And then if we had to be proactive, if we didn't

reach out to someone to try to hang out with them, we were never going to see anybody.

Jessica: You all worked together in Y Combinator's Cambridge office.

Emmett: Yeah, after the batch, not during the batch, we didn't. But after the batch we all worked at, we would go to Garden Street and work because it was just so much more pleasant where we lived. And I think you took pity on us because NYC gives you \$500,000 or whatever, so you can afford to get an apartment that's decent to work out of. Then with \$14K, you're literally trying to stretch it. "Yeah, okay, fine. We're out of our office." So we worked out of the office together, that was a big bonding thing.

But also, we just were a little bit more proactive about hanging out and meeting up once a week, getting beers on a Friday or something. And we really connected later. Once we sold Kiko, 15 months in, we sold Kiko on eBay. And after we sold Kiko, we didn't really have that much to do, and so we spent a summer basically distracting the Reddits by, we would at 3:00 PM, go over to their house with Chinese food and beer and start playing video games.

Jessica: Oh no, I do not know this.

Emmett: That was great, that summer was amazing. Steve got his revenge, though. Then he sold Reddit six months or nine months after that. And so when we were starting Justin.tv back in... And we moved to San Francisco, Steve moved into our building. And every day at 5:00, Steve would show up with a six pack of beer and we'd start playing video games. He would have three months of doing that to us back when we were starting to start Justin.tv. So I don't know if we were always a totally good influence on each other, but we were ultimately a very good influence on each other, because I think the number one thing that's hard when you're running a startup is, man, it is hard to keep going. If doing a startup isn't fun, if you're not enjoying yourself, it's just so hard to keep the faith and keep moving ahead. The Reddits, Steve and Alexis, I think were a big part of why we had the momentum.

Jessica: Well, I was going to say, based on the interaction that we saw in that first batch, that's what inspired us to keep it as a batch. That was just an experiment, let's learn to angel invest summer, and then we were going to just do asynchronous investing. But we thought, "The batch's founders like to come together, they help each other out." That's why we kept doing it, so I'm glad that those friendships coalesced.

Emmett: Yeah, but I think those things were like... Looking back at it, I could have gotten the \$14,000 from other places. If we scrambled, we could have put together a tiny round of money from friends and family, but we couldn't have put together that batch. Not the batch, I don't think we would've... The batch mates, that was the actually valuable thing we got. That was much more so than the money.

Carolynn: I have a quick question. Jessica, why didn't you deliver these guys an air conditioner?

Jessica: Oh, I'm so mortified you just asked that, because as Emmett was talking about how hot it was and they were in Roxbury, honestly, I delivered them to almost every other group, but they're mostly in the Cambridge area.

Carolynn: Your generosity had geographical limits, that's so sad.

Jessica: I know, but I could have offered to give them an air conditioner.

Emmett: It didn't even occur to us to ask. The thought that we could fix our living situation, no, this is just how it is. I think at some point we did buy ourselves our own Costco air conditioners because they're not that expensive. It was depressing and at the time, I don't think I enjoyed it that much. But I liked that we... I would recommend to most people, maybe not to go quite so extreme as go live in Roxbury, but moving somewhere where you aren't right with your friends and you're not...

Startups are hard and it's good to have the outlet every Tuesday or every Friday or whatever, but it would be better if you were working seven days a week in the beginning. At least six for a while. I mean, maybe not if you're older and you have experience, but we didn't have experience. We had no idea what we were doing. All we had was relentless energy. And so the more we channeled that into the startup, the better off we were.

Jessica: Now, you mentioned something I just want to go back to because I don't want it to be lost on this audience here. You sold Kiko for \$258,000 on eBay. Tell that story. Carolyn, can you believe this?

Carolynn: I was actually thinking to myself when he said on eBay, I was like, "Hang on, on eBay?" Yeah, you gotta tell that story.

Jessica: Tell that story.

Emmett: Google Calendar launched and at first we're like, "They can't take us, we've got them." And then we increasingly realized we don't got them, we actually have no ideas. Fundamentally, we didn't actually use calendars and we didn't actually have any idea other than the calendar that goes with Gmail. And so when Google launched the calendar then went with Gmail, we didn't know what to do. And also, I don't know if you know this, Jessica. We had real startup ADHD over those 15 months. So in addition to building Kiko, we built *You Look Familiar*, a social network for families. We built a sounds app, which basically was SoundCloud, which you could upload songs to and they had a little thing where it would play and you'd leave notes on it. We built this thing, we didn't actually launch it, we called it *Secret Project*, which is sort of a combination.

It's sort of like Replit today, but sort Replit plus GitHub, but we gave up on that idea. We didn't even get to launch. MySpace was the big social network at the time, so we built a sort of a cloud for MySpace idea. We built a spider, we also didn't launch that one, but we built the spider. We calculated a bunch of cloud scores and we lost enthusiasm and didn't launch it. And we built Kiko. And in retrospect, the reason we kept building these

other things and these other ideas, almost all of which by the way, are at least like multi \$100 million companies, if not billion dollar companies in retrospect, is because we knew at some level in our heart that this calendar thing, no one has built a \$1 billion dollar calendar yet. The calendar thing really wasn't a good idea, actually.

And so we kept running away from it, but then going back to it. We're like, "No, we're supposed to work on the real thing we're doing," and we weren't ready to actually pivot the whole company. And *You Look Familiar*, by the way, it's like ancestry.com, basically. The whole idea was you could get your family into it. And what we'd immediately started getting is feedback from your customers if we'd understood how to do it. It's like, "I want to add my dead family members, too. I want to not just build the family tree of the living people, but everyone who I know," which, that's what ancestry.com is. It's a social network that includes dead people. It's like Coma as a social network.

We basically were like, "Okay, we're actually going to give up on Kiko. Well, what do we do with it? Well, we've spent all this time building it, somebody should pay us for this," was sort of the idea. It's a calendar, it works. It's a JavaScript calendar that does work. Surely someone wants a working JavaScript calendar. Who wants that? I have no idea who would want that. And we should have intuited the thing you need a banker for normally, which is to figure out who wants it. To go show it to a bunch of people and run an auction. But the entire price wouldn't pay a banker's fees to get started, so how do we get a bunch of people to see it? And we're like, "Well, basically, we need marketing. And so, if we list it on eBay, that's funny and I bet we can get TechCrunch to write a story about it."

That was the reasoning. And we were right. We listed it on eBay and TechCrunch did write a story about it and that caused a bunch of other people to write stories about it. And that meant that everyone who might conceivably want to buy a JavaScript calendar heard about the fact that we were selling it. Because if you got a story in TechCrunch at that time and on Techmeme and the other aggregators, you would absolutely reach the buyers. And that's how we reached Tucows, which is based in Toronto, who wound up actually buying it.

Jessica: And you didn't have to pay a banking fee, right?

Emmett: We paid eBay their 2%.

Carolynn: That's so funny. All your banker friends who went to Goldman after college are like, "What's going on there?"

Jessica: And that's a fine chunk of change for two 22 year olds.

Emmett: Oh, yeah. Now, we had to pay back our angel investors because they had 1X preferences, basically, which makes sense. Which was Alex Lewin and Princess Linda, who are the only two people who believed in us enough to invest in us. And I'm not just calling her Princess Linda, that's how she introduced herself to me. That's my memory of her.

Jessica: Carolyn, she was the early Yahoo employee that Paul knew. Again, one of the few handful of rich people that we knew and invited to demo day to fill the 15 seats.

Carolynn: Right, okay.

Jessica: But she invested.

Emmett: And Alex was an employee, I think at Viaweb and then at Yahoo. I'm still friends with Alex to this day.

Jessica: Oh, awesome.

Emmett: You take that out and then we have to pay. YC didn't make its money back, but got some tiny check and then we had to pay taxes on it because we did it as an asset sale and that was smart. We structured it as an asset sale for two reasons. One is we knew that it would reduce the liability. If you're the buyer, you don't know what's in this corporate startup thing. Now we're like, "Oh, we're a YC company," that wouldn't be a big deal because buyers would be like, "Oh, okay, you use the standard YC paperwork, you have all the standard contracts and this will be fine." But at the time you're some startup, how are they going to diligence that? It's going to cost more in lawyer fees again, than the thing is worth.

So we structured it as an asset. It also meant that we could pump the price up more, which made it a more exciting auction to talk about, because people don't know the difference between you're doing a corporate sale and an asset sale. Now, that means we pay the taxes instead of them, but they know that so they're willing to bid more in the case where they're doing the asset sale. That actually worked out really well. The reason it's a \$258,000 sale instead of a, what would it be? Probably \$150,000 sale, is because we did an asset sale. And it's a better story if it's a quarter million dollars instead if it's \$150K. So at the end of the day, we actually wound up in our pocket, 35 grand.

Jessica: A piece?

Emmett: Each.

Jessica: Yeah, that's great.

Emmett: Which is actually, if you think about it for 15 months of work, post-taxes, having saved over 15 months as a first year out of college, 35 grand, we were way better off than any of our compatriots at that point in their careers.

Jessica: I love it.

Emmett: And that's important actually, because when we started Justin.tv, there was a point where we couldn't raise angel money and the startup was, we were going to run out of cash to not just make payroll, but to pay our vendors and our suppliers and Justin.tv was

going to die. And Justin and I both lent Justin.tv 15 grand each of that Kiko money to float the company for two months until we could close our angel round.

Jessica: No kidding?

Emmett: We could put together and close an angel round. If we'd not had that money, Justin.tv might've died. That was the bridge. No, what we probably would've done is come to you and Paul and be like, "Please help us, we're going to die." But it was nice that we could just write the check and invest in ourselves. I think it's a piece of advice. People ask me sometimes when they're coming out of college or in internships at Twitch, what is my recommendation? And my biggest post-college recommendation is if you care about freedom and being able to make bold choices in your life, save as much money as humanly possible. We did not live richly for 15 months or for the first three years. We lived very, very frugally and we spent as little money... If we were living in Roxbury, we spent as little money as possible. And when we moved out of Roxbury, we did not get a nice apartment.

And that meant when you have 35 grand in the bank, which is a lot of money, it's not a lot of money from a corporate finance perspective, but from an individual perspective, it's a lot of money, you have freedom. You can make bold moves like investing in yourself. And I think that's something that people right out of college underestimate is, how valuable it is to build a cash cushion immediately. Just save as much as you humanly can for the first year, year or two years. And then you can start spending more, because actually, once you have 20 grand, 30 grand saved up, you don't need to keep... The goal is not to save money forever, the goal is that you can quit your job or make a bet and you can bridge a couple of months of expenses.

Jessica: It gives you options. I give young people the exact same advice, save money so you have a cushion. Okay, Justin.tv, I want to get into this. Tell me the story of how Justin.tv Started.

Emmett: We knew when we sold Kiko and then we spent a summer distracting the Reddits, what we were really doing during that time while we were distracting them and playing video games was trying to figure out what our next startup would be. And we weren't in a blistering hurry because we had some money, we were okay, but we knew we wanted to start something else. And so our first idea was to turn any Flickr page or blog into a coffee table book.

Jessica: You're kidding?

Emmett: One click, that was the idea. Print on demand. Our first ideas are always terrible and then the second ideas are much better. It's weird. Our fake ideas that we were embarrassed to pitch, that we wouldn't tell people about, like Secret Project. I wouldn't tell anyone about *Secret Project* because I was so embarrassed. It was just for me, it was purely selfish. I liked the idea, the Replit, I always wanted a Replit GitHub thing that I could just build stuff online with, but it wasn't a serious startup. The serious startup is a print on demand service for blogs.

Jessica: You're cracking yourself up with your bad idea.

Emmett: Oh my God, it's so bad. It's so bad. So we go in to pitch Paul and he's like, "No." Thankfully, he's like, "Absolutely not. That's a terrible idea." We're like, "Okay, fine. You're probably right." He's like, "What else you got?" And we were like, "We do have this one other idea," which we'd come up with because we were having at the time, the canonical topic in Silicon Valley. The way that OpenAI and Elon is today, the default topic was what should Yahoo do?

Because Yahoo was already then obviously lost and they just didn't have a strategy. And so everyone would play kind of armchair quarterback. If I was running Yahoo, what would I do? And we were like, "Our conversations about this are interesting." And I actually think in retrospect, they were. It was sort of like we could have done what a normal person would do, is just start a podcast. That's the normal response to "we are interesting". Podcasts existed then, but we were like, "Ah, recording a podcast sounds like a lot of work."

Jessica: Yeah, because Odeo. [inaudible 00:38:18] did the Odeo podcasting idea, right?

Emmett: Yeah. And it was in the air at the time. It was 2006, podcasts were a thing. I think iTunes was out because iPods were around and that's why they're called podcasts, because iPod, you'd listen to them on your iPod. And so podcasts were around, but we were like, "No, no, no, that's too much work. Recording a podcast sounds hard. Instead, we should just record all of our conversations 24/7, and then we'll just cut out the interesting bits and upload those." And then we were like, "Well, if we're going to record all our conversations 24/7, we should just stream them live to the internet. Well, if we're going to stream our conversations live to the internet 24/7, why don't we just have a full video feed, too? That's possible now."

The EVDO cards had just come out, so mobile internet just came into existence. We could do that. And we were like, "Yeah, that's funny. We're never going to do that." And then we sort of gave up with the idea. We kept coming back because it was funny. I remember Chuck Foreman from OMG Pop, Justin told him at a party. Our startup idea is we're going to stream my life 24/7. Because between me and Justin, it was never a question which one of us would wear the camera. It was obviously, Justin was going to wear the camera.

Jessica: Wait, but why? Say why.

Emmett: Oh, Justin likes being famous. Justin's always had a goal of being somewhat famous. I don't particularly like being famous.

Jessica: Right, right. Okay.

Emmett: It's more of a side effect. People hearing about you, for me, is like a negative side effect, not a positive one. Whereas for Justin, it's a positive one. Anyway, Chuck said to Justin-

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- Emmett: Chuck said to Justin, "You're full of shit. You're never going to do that." And I think that was actually the moment that we became much, much more likely to do Justin.tv. I wasn't actually in that conversation, I just heard about it afterwards, but spite is one of the most powerful motivators there is. In some ways, Justin.tv was ... we were like, "We're in a show, Chuck," which we go to pitch Paul and he's like, "What else have you got?" And we're like, "Well, we do ..." Justin says, "We have this idea that I should wear this camera 24/7 and we're going to call it Justin.tv," because it was Justin.tv, it's live and also Justin.tv. We thought it was a clever pun.
- Jessica: Yeah, better start a startup around it.
- Emmett: Yeah, better ... A clever pun for a name and the domain's available. Could you believe it? And Paul saw immediately, "Oh, this could be a new kind of reality TV. You could have a bunch of other people do this eventually also." And we're like, "Yeah, totally. We hadn't really thought of that, but yes, absolutely, we could totally do that." And so Paul wrote us a \$50,000 check for the new thing, I think then, to invest in the new startup.
- Jessica: And I think I walked into the kitchen and Paul's like, "Hey, Jessica, guess what the Kikos are now doing?" And you've mentioned your idea and I remember saying, "This sounds ridiculous, this idea. Thank God you didn't listen to me."
- Emmett: It was ridiculous. Literally, our internal tagline for the project was a series of ridiculous stunts because we'd been inspired by the Kiko thing. We'd realized one really good way to get marketing and attention for things you wanted to do is just be a little bit absurd in public. And the whole show was kind of that. The whole idea of being live 24/7 was an absurd stunt, and we kind of knew it. We milked it. That was the concept.
- Jessica: So for listeners, it sounds so boring, Justin would strap a camera to his head and live cast his whole day. Right, Emmett?
- Emmett: It sounds boring because it was boring. It was extremely boring.
- Jessica: There were some studs. I was involved in some of them, the recipient.
- Emmett: It was interesting for 15 minutes to two hours a day, and then the rest of the time, it was super, super boring. And the problem with live video is being interesting for 15 minutes to two hours a day is terrible. That means, almost always, your show is horrible. And if you can produce 15 minutes of good content a day for YouTube, that's great, but for a live service, you have to be interesting all the time, and it's almost impossible. There's a reason why reality TV shows aren't live. There's a really fundamental, good reason. You can't be interesting 24/7.
- Jessica: Well, I have a lot of questions about Justin.tv, but pull on that thread, what did you do to combat the lack of interestingness of Justin's life?

Emmett: First, we tried to program his whole life to make it interesting. So we had about a month and a half where we were like, "We're going to make Justin's life interesting." I think it was really stressful for Justin. We're like, "Justin, you're not being interesting. Go do interesting stuff." Every time he tried to relax or sit down, we would yell at him for being boring. And we'd have people organizing things like, "Justin, go to trapeze lessons. Justin, go do this." It was endless ...

We discovered a couple really key things. Talking to the audience was always interesting and easy, which is a key insight that Twitch built on. And we hooked up an Xbox to the camera and played Call of Duty, and that was interesting. People liked that, too. And so we actually did, if we'd been paying attention, if we'd been focused on what are the things that are interesting, huh, well, the two easy things to do that are interesting are stream yourself talking to the camera and playing video games. Can we just talk to the camera and play video games? It was right there, but we didn't notice because we were obsessed with the idea of it being mobile. The cool thing we're doing that's actually new is walking around outside.

That's what was hard about this. We spent all this effort building this camera. You really got to put people back at their computer, but in retrospect, we were just way ahead of our times. The phones were not good enough to do live. The live streaming on the mobile thing was just super hard. And actually, even streaming from your home PC had only just become available. There wasn't another good service to live stream from anywhere, let alone mobile live streaming.

Jessica: And in fact, that was the hardest thing. Paul said the live streaming was the hardest thing that they did, and you guys built really complicated infrastructure and technology for this, right?

Emmett: Yeah. In the beginning, we were just using a CDN, but very quickly, it didn't have the features we wanted or it was too expensive. The real thing was too expensive. Because we weren't going to do the video part anymore, Kyle immediately raised his hand to do the video system part and became the head of the ... I was head of all non-video system technology, print and programming, and Kyle was head of the video system. And it was very impressive, the way he tackled that, because he didn't know anything about video at all. And in the beginning, our system was not very good, but it got better. The very first thing he built was a little proxy that would sit in between the camera and the CDN and save a copy of the stream as it went by.

Jessica: I just want to do a quick aside for our audience because there's the introduction of two key players in this scene. One is Kyle Vo and the other is Michael Cybil. Can you just back up and say how they came on board?

Emmett: Yeah. So we were starting the company, and we knew we were going to start it in San Francisco, but we were still over on the East Coast. And Justin knew Michael from college and was like, "Effectively, we need an adult," was sort of the theory. We need someone who's more steady than not. Justin and I, I think, can be very inspiring. We also have a little bit of up and down energy. And Cybil is a force and he's not so easily moved from a direction once he's set on it. And so Justin intuited correctly, "We need someone like

Cybil on the team to make this team function," and so we recruited him. Really, Justin did most of that work because he knew Cybil better in college. As step one in our recruiting process, we convinced him to drive across the country or do a road trip across the country. And by road trip across the country, we meant four days nonstop driving from New York to San Francisco.

Carolynn: Oh, man. Look how gleeful Emmett is in his memory.

Emmett: The beginning of-

Jessica: I know. Why are you laughing so hard, Emmett?

Emmett: The beginning of just so many times of just setting Michael up with a, "Michael, we're going to do a road trip across the country. Just kidding. We're going to drive nonstop and pause for 15 minutes at the Great Salt Lakes for a photo op, but then keep going." We arrived in San Francisco, "You just started a startup with us. It's going to be fun. It's going to be like Real World. We're going to move to New York. It's going to be a reality TV show. Just kidding. It's a tech startup. We're not moving to New York." It's an endless series of just rug pulls. And I think he liked working with us. He had a good time, anyway. Oh, my god.

So Michael shows up, and we're having a pretty good time, and we're starting the company, and we're like, "You should do this with us. You're already a key part of the team. We never could've found an apartment without you," which I don't know if that was true. We made him feel like it was true. And basically, the same way we hired Kevin was the same move, which is we just started giving them work without paying them, and then they'd get into the work, and then we'd be like, "Oh, well, shouldn't we be paying you for this?" And then we'd hire them.

Jessica: Rope them in.

Emmett: Once they were working with us, they had a really good time. I think the key is that startups is what's the biggest reward is you get to do interesting work without a boss with your friends. That's a pretty good pitch, but people don't understand it. It's one of those pitches that's way better if they start doing it first. And so one of my startup hiring tips for people is just make your friends start working with you. Don't pay them if you want. Once your smart friends are working with you, it's much easier to hire them from there. They're already doing the job.

And so then we realized, right around the same time as we were recruiting Michael, we're like, "We need someone to build." We thought we needed hardware to do the live streaming, and that was wrong, but thank god we had this delusion because it caused us to email the MIT hacker list, which I would never recommend as a way of hiring someone. It only worked because we were so early in the startup cycle and YC was just getting started. And there weren't that many startups yet that second-time entrepreneurs, second-time entrepreneurs, we sold our startup on eBay, but we were

second-time entrepreneurs starting a startup, emailing the MIT hacker list, which that's why Kyle's joined up. He's like, "Oh, these guys know what they're doing."

Jessica: Second-time entrepreneurs?

Emmett: Again, second-time entrepreneurs. And we both fooled each other because Kyle sent us this 26-page PDF CAD drawing thing that really impressed us that was not actually that ... It was impressive, but it was only to people who didn't really know what they were doing. It was cool, but it's not that cool, but it was super impressive to Michael and we used it to hire Michael, and then we used the fact that it was this very stone soup, using everyone else joining to FOMO the other people into joining.

And we got Kyle, who was an MIT sophomore dropout, to come join us. And what Kyle did not reveal at the time that I learned later is he was on the verge of getting kicked out of MIT because he wasn't doing his classes. He was just building stuff and hacking on stuff all the time, which I did not know until later. So it also makes sense why he joined us, but we felt like we hit the jackpot, because we had, because Kyle is brilliant.

And I think that was one of the most lucky things about the whole thing. Everything else was like, oh, you recruit your smart friend from college, that's a pretty standard thing we tell people to do, email the MIT hacker list and get some brilliant 19-year-old college dropout to join your company is not a ... That's a win the lottery ticket kind of move. You got to get a lucky break sometime, but we didn't really deserve that one.

And so Kyle was a brilliant engineer, went on to build a self-driving car company, and we got him to go make our video system. And when we convinced him to stay, we gave him an equal share of the company because we felt he really was a co-founder with us. And looking back to that, I remember thinking, "Are we just going to give every employee that we hire a co-founder share?" But Kyle really deserved it, and I think he was joining at this point where we didn't really have anything. And so that became a team of four, which is also something we generally tell people not to do-

Jessica: Wow.

Emmett: ... but our team of four was very stable. I don't quite know why. I think it's because me and Justin were very close and we're clearly just going to keep going. And then Michael, we went to college with, and Michael is very ... he never had any doubt. He was fully all in. And then I guess Kyle saw the three of us being like, "Well, I guess they're fully all in." And once you get a critical mass of people who are just totally all in, Kyle was like, "Well, I guess if they're all ... then I guess I am, too."

We snowballed it from me and Justin being just fully all in on what was going on to getting Michael to be, and that's really what makes a bigger team work. If you can get seven people to all be fully, 100% all in in the startup, that would be a great founding team. It's just I don't think you can generally do that. I think that it's hard to get-

Jessica: [inaudible 00:52:59] smaller.

Emmett: ... that many people ... yeah.

Jessica: Start small.

Emmett: Two, maybe three is the max, really, but it worked out for us.

Jessica: Carolynn, did you have a question that I had interrupted you on?

Carolynn: No, I was actually just wondering how different the trajectory would've been if you had mentioned some of the secret projects to Paul when you were pitching him on Justin.tv. You must think about that every now and then, like, "What if we had just gone all the way on that secret project?"

Jessica: On Replit.

Carolynn: On the Replit [inaudible 00:53:27]. So different.

Emmett: Yeah. And weirdly, we'd already given up on them, so they were no longer exciting. You're right. Why didn't we pitch those at the Justin.tv stage? And it's because the way we came up with startup ideas was mania driven, not in any kind of intelligent way. It's whatever we were enthusiastic about at the time. And in retrospect, we did have a bunch of ideas. We'd even half built a bunch of them. And I remember going in and being like, "Well, we only have these two ideas, print-on-demand blogs and a live streaming reality show. Those are our only ideas."

Jessica: Paul said, though, that the Justin.tv idea was just on the right side of crazy and it was hard to predict what way it could go. And in fact, that's what happened. It went in the direction of Twitch.

Emmett: No, I don't regret doing the reality ... Doing the reality TV show idea was the most entertaining option. It was the most interesting, crazy thing we could do, and I'm glad we did it, and obviously it worked out. I've actually never wondered that question. Now that you've mentioned it, that would've been a much better startup, but we would not have recruited Kyle for that one. I don't know. Maybe it would've been more successful, maybe it would've been less successful. It's hard to say because the idea is ... One thing I've definitely learned in startups over and over again is the strength of the idea is almost never the important thing about the company.

Jessica: No, it's the founders.

Carolynn: Founders.

Emmett: And the Justin.tv idea let us recruit Michael because we were going to be Real World in New York, and it let us recruit Kyle because we were going to build cool, live streaming, redundant hardware. And so maybe it was exactly the right idea because it let us recruit the best team, even though it was not the best idea as a business.

Carolynn: I was also wondering, what was the idea for how Justin.tv was ultimately going to make money? Oh, sorry. Silly question.

Emmett: Make money? We didn't think about making money until the 2008 financial crisis when we were like, "Oh, shit, the gravy train is about to stop." We managed to raise, thank god, a series A extension from Stuart Allsopp two months before the hammer came down, because we'd failed. We tried to raise our series B. Just at the time, for people listening now, series B meant a \$5-million to \$7-million round.

Carolynn: Right. Yeah, different world.

Emmett: Series B is not ... Different world. Think what would now be a series A, now that we would say we raised our series C, we were trying to raise a series A, we failed to raise a series A, I think Stuart believed in us and we were the best thing in his portfolio, and so he doubled down and invested in us, anyway, and we got a series A extension from him, plus \$2 million of venture debt from SVB, thank god, because two months later, we were not going to get anything and we were going to run out of money and die. Justin.tv has several near death moments like that where it's just like we got lucky and we ... Well, lucky, we were also smart. We knew, take the money now. Before you run out, take the money now. And then the hammer came down and we're like, "Oh, we better get profitable," and then we started thinking about money in a really serious way.

Jessica: So what did you do? What did you then do?

Emmett: The hammer comes down end of 2008. Four weeks later, we've pivoted completely to working on money. We actually got serious for the first time in our company's history about having processes and metrics, and we actually managed the company in a real way. It was really healthy for us, actually. We sat down every month with the P&L, which was this weird hybrid cash P&L/actual income statement P&L because, we called it Michael math, what Michael really wanted was a cash burn thing, but our cash burn was so far from the ... because you get paid on advertising so much later, it was really hard to tell how much money you were actually making.

And so we did this hybrid thing where our costs were on a cash basis, but our revenue was on an accrual basis, which was weird, but actually, I think in retrospect, it was the right way to look at the company. So we sit down with this weird, fucked up, non-GAAP P&L. We sit down with this weird Michael math P&L every month, and we'd go down every single cost line item and we'd ask, "Do we need to spend this money? How could we spend less money on this?" And if we thought we could do something to spend less, we would either cut it right away or we would make an action item to go cut.

And then we'd go down every revenue item, which in the beginning wasn't very many, and we'd ask, "Can we make this go higher? What is missing from making this go higher? What are our best ideas to make this go up?" And then we'd go through every page on the website and we'd ask, "Can we extract more money in some way from this webpage that we are currently extracting and from this flow that we are currently extracting?"

And then that would turn into a list of 27 action items, and then we would distribute them to people, and then we'd go get them done.

Jessica: That's pretty impressive.

Emmett: And that was the management system. And then we'd come back by the next month and we would get ... Oh, we also got desperate enough that we stopped micromanaging our employees and we just started asking for their help, which was also a big move. The other thing we did, we were super transparent with the employees from minute one. We were like, at the beginning, we have 14 months of cash in the bank and then we're dead. Here's the burn rate. Our goal as a company is to pull out of this dive and we're going to do it. And because we didn't have any doubt, we were like, "There's a doomsday clock on the wall," but we were utterly confident ... It wasn't like "We're screwed," it's like, "This is the new goal. This is what we're going to do." We didn't lose anyone through it.

I've heard of people who enter a downward spiral, but I think what happens is, if the founders are scared, the employees see that, and it's rats leaving a sinking ship. At the bottom of the dive, we pulled out of the dive with, I think, two months of runway, eight weeks of runway left. That's when it went from nine weeks to eight weeks, and then from eight weeks back up ...

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Emmett: It went from nine weeks to eight weeks, and then from eight weeks back up to nine weeks to 10 weeks, and that was... We hit the bottom.

Jessica: Woo.

Emmett: But the employees could see that because the rate of decline had gone from a week per week, to half week to week per week, to a quarter of week per week. It was like tick, tick, tick. You'd see us like... And we finally were managing the company in a transparent, way where it was very obvious what our goals were-

Jessica: Yeah.

Emmett: ... and we were enlisting people and doing the goals. Employees started inventing stuff and building things for the company.

Jessica: That's cool.

Emmett: We had this idea for this product that basically was a paywall, where if you weren't in an English-speaking country where we could monetize on advertising, we just made you pay for the service, which, after a five-minute preview, and that product was not very good when we first launched it, and Tim just took it upon himself to run our first A/B tests and actually experiment with the thing, and just didn't really talk to us about it, just went and did it.

Jessica: Yeah.

Emmett: Thankfully, 'cause if he'd talked to us about it, we would've probably would've screwed it up. And basically, we were finally... The problem with products like Justin.tv and in general consumer internet is, how do you make something like that grow, is not a scientific process. It is if you're Facebook and you have an incredibly sticky product, and you can have a growth team whose whole job is to put people on the top of the funnel.

Jessica: Yeah.

Emmett: But we were not an incredibly sticky product, and so, how do you make us grow was really... I don't know, you just try stuff, and some stuff works, some stuff doesn't. It's a very low feedback environment, whereas the money thing, finally it was like running an enterprise company, like running a real company. You could set goals and then achieve them, and then the next month, you could achieve the next goals you set, like a real company.

Jessica: Imagine that.

Emmett: Yeah. And so, it was really healthy for us, so we got profitable over the next 18 months.

Jessica: Amazing.

Emmett: And that really set the stage for Twitch, because the way we funded Twitch was Twitch was funded almost entirely out of cash flow off of Justin.tv. We wound up raising a series B from Ethan Kurzweil at Bessemer, but that was a year after starting Twitch, we'd launched the product, we were growing already. The entire seed investment... And then, continuing, it took... We squeezed all of the blood out of that stone, eventually we squeezed it to death. But that probably generated, I would bet, seven million in cash flow over the course of the out. It produces at least as much profit out, probably more. Then we wound up selling it for more, so in total, we probably got \$10 million out of it, so it was a profitable venture.

Jessica: Yeah.

Emmett: We squeezed more money out of it than we got going into it. And that doesn't even count for the fact that it was paying everyone's salaries on top of that.

Jessica: Right.

Emmett: So actually, I'm just counting the profit we could reinvest. Actually, it was probably closer to \$20 million of cash flow that let us go build Twitch, a very capital intensive business, with me, not a particularly great fundraiser at the time. I'm much better now, but at the time, I was not good at fundraising. We had a consumer internet winner that was growing at 30% a month, and on top of that, we were growing it out of cash flow from the last product we'd built.

Jessica: Really? Did people turn you down?

Emmett: 40 VCs turned us down before the first money we raised.

Jessica: Okay, hold on. This is so huge, and I want listeners who are starting startups or trying to raise money to hear this. Emmett Shear got turned down by 40 investors with Twitch, making money.

Emmett: We were just going and going. We got Bessemer to make an offer, then we got somebody else to make an offer too, but their offer sucked, and we just pretended it was a decent offer to get slightly better terms out of Bessemer. But ultimately, basically, just took the Bessemer offer 'cause it was the best thing we had. And we couldn't even get a competitive bidding situation going on.

Jessica: Wow.

Emmett: It was so bad. Everyone in gaming turned me down. And now, I could go pitch it, and my pitch reel would be so much better 'cause I understand how VCs think, and I understand what we had, which is good news. We have a consumer internet winner that is growing at 30% month over month, and our revenue, we have negative dollar weighted churn from the moment people start spending money with us. The cohorts of money from people who are spending money with us grow every month when we sign them up.

Jessica: Yeah.

Emmett: We'll be taking bids next Tuesday, let me know if you're interested.

Jessica: Right.

Emmett: That's the whole pitch.

Jessica: Right.

Emmett: That's the whole pitch. What else do you need to know?

Jessica: Right.

Emmett: I don't even need to tell you what my company does, it's irrelevant. But I didn't understand what we had, and so I couldn't convey it. The main thing when pitching VCs, or pitching anyone for anything, is if you know what you have, you're confident, they can't really assess... I thought they were intellectually assessing my idea. That's not what they're doing at all. They are trying to figure out, do you think this is really going to work? That's like 90% of their decision. I didn't understand that what we had was this rare chance, we had a one in three chance we were going to build something really big, and I was focused on the two in three chance this thing was going to implode. Which is true, we probably did have a two in three chance, there was a bunch of moments where we almost died, it was not a guaranteed success from that point.

Jessica: Yeah.

Emmett: But VCs don't bet on guaranteed... If the point is it's a guaranteed success, you should be pitching Fidelity, you're not pitching a venture capitalist.

Jessica: Right.

Emmett: This is a one in three chance at being a billion-dollar company is a great bet at series A or series B.

Jessica: Right.

Emmett: Absolutely put your money in that. I could have got that intellectually, but I didn't emotionally understand it, and so my pitch was bad. This is something I try to talk founders out of now whenever I advise them at YC-

Jessica: Yeah.

Emmett: ... stop trying to convince me your thing is a sure thing and there are no risks. Tell me, here's the two things that are the big risks that we're going to de-risk, here's our plan to de-risk them. But yeah, those could kill the company.

Jessica: Yeah.

Emmett: But if they don't, we're a billion-dollar consumer internet play, we're a \$10 billion company, this is fucking huge. Which is true also, and I just didn't have the chutzpah to pitch it that way. In retrospect, I really could have used it at YC to be honest. I was always the tech partner who wasn't the CEO. I never went through YC as a CEO, I went through YC as the CTO, I was the co-founder. And so, I never got the office hours where I was being coached on raising money, and I was in the arena raising money, and it would've been really helpful to me. I wish I'd done YC as Twitch instead of as Justin.tv.

Jessica: This brings me up to one of... I know we're coming up on time here, but this brings me back to one of my final questions. You referenced, I wish I had YC. You're now back full circle being a visiting partner at YC. First of all, how do you like it, and what do you now bring to the table to advise the startups?

Emmett: Well, so in the spirit of how the turn tables, just like we consistently lie to Michael about how much it's going to be fun, we'll do the road trip. Michael was like, be a YC partner, it'd be in my group, it's easy, it's not that much work. That is bullshit.

Carolynn: Oh, the rug pull comes [inaudible 01:08:17].

Emmett: To be fair, it's not a 50 hour a week job, you're not grinding hours, but it doesn't matter. I remember him telling me the interviews are 9:00 to 2:00 Zoom calls, and I was like, 9:00 to 2:00 Zoom calls? I eat 9:00 to 2:00 Zoom calls for breakfast, I do 9:00 to 6:00 Zoom

calls. And that's your most intense week? This is going to be easy. What he didn't tell you is that 9:00 to 2:00 Zoom call melts your brain.

Carolynn: Yes, it does.

Emmett: I've never been more-

Carolynn: Exhausted.

Emmett: ... exhausted than after six hours of interviews.

Carolynn: And then writing rejection, yeah.

Emmett: It's so hard and rejections are hard, but also just the debriefs. You're on the whole time, because during the interview, you have to extract maximum information from everything that's happening, and your brain is trying to load in an entirely new business, and then after, you're trying to figure out the debrief, and figure out should we do this or not, and pay attention to all the data you have to figure that out, and it's just high stakes decision after high stakes decision, bam, bam, bam, bam, bam. I make more consequential decisions in four days doing interviews as I would in an entire quarter as a CEO.

Carolynn: You can never turn it off either. You have to concentrate and focus-

Emmett: Yeah.

Carolynn: ... for such a long period of time. It's very exhausting.

Emmett: And the rest of YC isn't as intense as interviews, but it's still office hours, every single office hours is a moment for that startup of them trying to pivot and it is hard.

Carolynn: Yeah.

Emmett: A day of office hours is also very draining, if you're meeting with all the startups. It's energizing. It's draining the way going on a long, beautiful hike through the Alps is draining. Yeah, it's draining, you're tired at the end of the day, you feel good, it wasn't unpleasant, but you're spent at the end of the day.

Carolynn: Yes.

Emmett: And I love it. It's really fun, I'm going to do it again this batch.

Carolynn: Yeah.

Emmett: I had this idea I would do... I have a six-month-old son, I would take some time off, and I was like, oh, this will be a good side thing while I'm...

Jessica: Uh-oh.

Emmett: I know Michael works really hard, but some of that won't happen to me. Oops.

Carolynn: Rug pull.

Emmett: To be fair, yeah, totally. I 100% deserve it, Michael had every right to do that to me. But we are in the off part between batches right now and it is nice, you do get some time off. It's a little bit like being a teacher, there are a few weeks a year where you really do have a big gap, you have more vacation opening. I need some time off, some actual time off.

Jessica: You've been doing this since 2005, and what we didn't tell the listeners was that, in 2014, Twitch got acquired by Amazon, so now you're working with a big company.

Emmett: Yeah.

Jessica: That must've been mind-blowing too. You need a little time off.

Emmett: Yeah. Amazon is an acquirer that I actually really recommend as an acquirer, if you want to keep running your company. If you want to sell your company and have somebody else manage it, don't sell it to Amazon. But if you want to sell your company and keep managing it, Amazon is run in this very decentralized way, where if they acquire you to be run as an independent business, they're going to let you keep your brand and stuff, which you'll know, they'll tell you during the acquisition process. They're great, they really do... Of all my friends, the ones who took it public or kept it private, I had the best deal, the easiest time raising money, the smartest board. In general, I would've some hints about, here are some things to negotiate on your way in, here's the annoying things, here's...

But on the balance, talking to Drew running Dropbox or whatever, my life was easier and better than someone who took it public, and it was easier and better than someone who stayed private, because you had this access to capital on Amazon's terms, like being a public company, but then Jeff and now Andy, they have to deal with Wall Street, I don't have to deal with that, and so it's great. It's an amazing place to build a company if you believe in owning Amazon stock, which worked out really well for us.

Jessica: Yeah.

Emmett: And you just like the process of building it. I will say that's not probably for everybody, but I think more companies should do what Amazon does, and offer the conglomerate a sheltered home for a CEO to run their company. But it's also what Warren Buffett does. Someone should be the Warren Buffett of tech, and go buy companies with the intention of, we buy you, we take you private, but it's because we want to own your thing for the long run, and we want dividends-

Jessica: Yeah.

Emmett: ... not because we are trying to take you out and think we could manage your company better than you.

Jessica: Yeah.

Emmett: Tech has a lot of people doing the latter and almost no one doing the former, and I think that's a shame.

Jessica: Yeah.

Emmett: Amazon's the closest.

Carolynn: No, this has been great to hear all about this though, Emmett. It's been really great.

Jessica: I know. I feel like there's just... Known you for so long, and I've seen this evolution of Emmett Shear from a nerdy college graduate to formidable founder, advisor, angel investor, with a Santa Claus beard now.

Emmett: I had hair up here.

Jessica: And congratulations on the birth of your son. I'm so happy for you, and I could not be more happy that you're back with YC right now.

Carolynn: Yep, same.

Emmett: I had so much fun. I really enjoyed it.

Carolynn: I'm really glad you're with us.

Jessica: So thank you for your time, and I can't wait to see you in person.

Emmett: Thank you so much. It's been a blast, and I can't wait to get to work with all of you more, it's the best.

Carolynn: Great to talk to you, Emmett. Thanks for being on the podcast. Bye.

Emmett: Bye-bye.

Jessica: Carolynn, I loved catching up with Emmett.

Carolynn: Emmett's great.

Jessica: Oh my gosh.

Carolynn: That was a great conversation. It's great to talk to him, and I think he was having a good time, so that was fun.

Jessica: He's been doing this for a long time-

Carolynn: Yeah.

Jessica: ... and it all started at Y Combinator-

Carolynn: Right.

Jessica: ... for him, 2005.

Carolynn: Yeah.

Jessica: And he's only just recently, in 2023, resigned from Twitch after all these years, so I think it's fun walking down memory lane.

Carolynn: Oh, absolutely, yeah.

Jessica: Not that many people in his world know about Kiko.

Carolynn: Right. I remember you guys referring to them as the Kikos, which is confusing.

Jessica: Oh, they were always the Kikos.

Carolynn: Yeah, which is confusing-

Jessica: Yeah.

Carolynn: ... since all that happened after.

Jessica: But then they turned into Justin.tv's.

Carolynn: Right.

Jessica: But they were never the Twitches.

Carolynn: Right.

Jessica: It was just the Justin.tv's.

Carolynn: Right.

Jessica: But that was interesting, I learned a few things that I didn't know. I certainly never knew how many ideas they were simultaneously working on with the calendar app, because Paul and I were in California spinning up the winter batch in Mountain View for the very first time.

Carolynn: Right. Yeah, well, that's why I thought... I thought that was really interesting, and just for them to think back about all these little projects that got started and then got abandoned, and what they could have been, and that's why I asked him, do you ever think about what could have been. And it's silly to do that, but those are a lot of really

good ideas, nascent ideas, and I really feel like if you guys had heard them, you would've been like, oh, do that.

Jessica: Well, Carolynn, do you remember the conversation we had with Paul? He said after he sold Viaweb, the company he wanted to build was a programming language mixed with Replit mixed with GitHub.

Carolynn: I do kind of remember that.

Jessica: And he wound up abandoning the other two and just doing the programming language.

Carolynn: Yeah.

Jessica: But if Paul had heard that they were working an idea-

Carolynn: He would've been excited, yeah.

Jessica: ... doing Replit and GitHub, he would've been over the moon.

Carolynn: Super jazzed, yeah. Man, timing is everything, right?

Jessica: [Inaudible 01:16:38]. Yeah, timing is so critical with a startup, and you can't control that.

Carolynn: Yeah.

Jessica: The other interesting thing from that conversation was parallels with what Brian Chesky of Airbnb was saying, how it's the founder's leadership and the founder's confidence in being able to get the employees to feel just as confident and turn things around-

Carolynn: Yeah.

Jessica: ... and how they went through all these line items. Can we cut this? Can we cut that?

Carolynn: Yeah, I think that's an underappreciated, or maybe underrated, thing, is how important it is that as an employee you feel like you're following something mission-driven, or something that the person you signed up to work with is super into. That's pretty powerful.

Jessica: Yeah, you believe in it-

Carolynn: Yeah.

Jessica: ... and therefore you don't give up, and you work hard to right the ship.

Carolynn: Yeah.

Jessica: And also parallel with how much Emmett got turned down by investors just like Brian Chesky.

Carolynn: Oh, yeah. It's great... That is-

Jessica: Unbelievable.

Carolynn: Yeah, common theme

Jessica: Yeah. I say this over and over, but for anyone struggling to raise money, it happens to the best of founders.

Carolynn: Yeah.

Jessica: And I love how he was saying he was happy to be back at YC, but it was more exhausting than he thought, and how he likened it to a hike through the Alps.

Carolynn: That's a very nice comparison. It's just exhausting, full stop.

Jessica: I know.

Carolynn: But it's a nice comparison.

Jessica: Oh, I'm just so glad he is back at YC and advising the founders there. They are in great hands with Emmett Shear.

Carolynn: I totally agree. It was great to talk to him.

Jessica: All right. Well, I can't wait to hear this one when it comes out, and I'll see you very soon.

Carolynn: See you next time. Bye.

Jessica: Okay, bye.

PART 4 OF 4 ENDS [01:18:35]